November 4, 2026

AI and National Security Experts Discuss Open-Weight Models, AI Governance, and Military Competition with China.

On November 2, the Hudson Institute held an event titled "*AI Power and National Security Conference: Open Models, Governance, and US-China Military Competition.*" Across three panels, experts from industry, think tanks, and the defense community discussed whether open-weight models can strengthen a trusted U.S.-led AI ecosystem, which policy tools best support safety and competitiveness, and how AI can bolster deterrence while reducing the risks of miscalculation and escalation.

Highlights.

Startups and Open-Weight Models. Michael Ortiz of Reflection AI noted that about 80% of startups use Chinese models due to lower costs. He advocated for a vibrant global ecosystem instead of bans, and observed that a viable Western open-weight alternative is only now emerging. Caroline Zier of OpenAI and Sam Bresnick of CSET cautioned that relying on Chinese models poses risks, including potential cost increases if the Chinese Communist Party tightens control and uncertainty about how difficult it would be to switch providers.

AI Development for the United States. Hudson's Thomas Duesterberg said the U.S. economy now depends on a debt-funded AI boom and called for more transparency in AI financing deals and stronger enforcement of outbound investment rules so the U.S. does not help its Chinese competitors. CSET's Kyle Crichton laid out the choices facing federal policy, from anticipating severe risks to using compute as a lever against China.

Responsibility and Accountability. Retired Lt. Gen. Jack Shanahan said the Pentagon appears to prioritize speed and lethality over AI assurance and stressed that the military must always know who is responsible when a system fails. James Giordano of National Defense University said doctrine requiring human involvement in the use of force must keep pace with the technology, and former Pentagon official David Helvey argued that humans on the loop must understand and challenge how AI shapes what reaches commanders.

See below for more details from our select coverage of the event. As always, please reach out with any questions.

Panel I. Open-Weight Models and US-China Competition.

- Steve Kelly, President, Perry-Shultz Center for Technology and Strategic Stability, Institute for Security and Technology (IST)
- Caroline Zier, Deputy Lead for National Security Policy, OpenAI
- Sam Bresnick, Research Fellow, Center for Security and Emerging Technology (CSET), Georgetown University
- Michael Ortiz, Head of International Affairs, Reflection AI
- Jason Hsu, Senior Fellow, Hudson Institute (Moderator)

China vs. the United States
Hsu asked whether the gap between the U.S. and China is really shrinking. Bresnick said the commonly cited three-to-six-month U.S. lead is ambiguous, explaining that it may hold for publicly available models but that the more advanced models behind the curtain are probably further ahead. He noted that China is having the same debate over what should be open and closed, with its own export controls showing that Beijing cares which capabilities become open. Zier rejected the idea of the AI race as a single race with a finish line, arguing that Beijing is not the only one who gets to define its terms. Kelly said efforts to work with China have produced some agreement on which issues need examination, but not on how to address them.

Belt and Road Comparison
Kelly described an IST report on the risks of open-sourcing AI, which identified malicious use, capability overhang, bias, and removing humans from the loop. He said most middle powers cannot build AI like the U.S. and China but hold leverage in choosing which models to bring into their economies, and that as they adopt AI, they are looking for trustworthy models, which raises the question of how open models should stay. Bresnick warned that the spread of open-weight models mirrors China's Belt and Road Initiative and said the U.S. needs to do a better job reaching out to other countries the way China does. On a trusted U.S. tech stack, he said exporting U.S. chips can actually help China, and that while the government would struggle to build open-weight models itself, it could invest in or create a regulatory structure that helps companies like Reflection AI, which Ortiz said could start with helping distribute scarce compute.

Startups and Open-Weight Models
Hsu asked Ortiz how an emerging company built on open models makes money. Ortiz said Reflection AI began about three years ago as an agentic coding company that saw a huge gap and is now building a 500-billion-parameter workhorse model, which it fine-tunes for enterprise customers and offers to conglomerates as a sovereign option. He said customers consistently want control of their own data, third-party-tested safety and security, and low cost. He noted that about 80% of startups work with Chinese models because they are cheaper, arguing for a vibrant global ecosystem rather than bans. Asked why so many users rely on free Chinese models, Ortiz said no viable Western open-weight option has emerged until now. Zier said it is not her place to tell startups what to use but warned of the cost if the CCP tightens control of its models, adding that alternatives, including closed models at the right price, matter. Bresnick said startups value running models locally and controlling their data, but cautioned against building businesses on Chinese models and said he is unsure how hard it would be to switch.

Upcoming Trump and Xi Meeting
Hsu asked about the upcoming meeting between President Trump and President Xi. Kelly said agreeing on terms, definitions, and what will be reported would create a set of observables, and urged the U.S. to engage on common causes, since some risks are simply technology risks everyone should worry about. Zier said the U.S. must enter these dialogues clear-eyed and start building a foundation, expressing hope for shared definitions with China and space to discuss international governance and standards, and warned that if the U.S. does not show up as AI rewires national security, Beijing will fill the vacancy. Bresnick said he is encouraged by President Trump's effort to identify which AI risks are most useful to discuss, but is much more skeptical of hotlines with China, which he said never work because Beijing is extremely slow to communicate.

U.S. Development of Open-Weight Models

Hsu asked what advice the panelists would give on U.S. development of open-weight models. Kelly said the U.S. could encourage uptake of open-weight models, secure a trusted supply of memory chips, and help developers meet their energy needs. Zier said OpenAI supports a dynamic ecosystem that includes open-weight models but opposes unauthorized distillation, which she said ignores terms of service, takes protected intellectual property, and strips out safety guardrails. She called for moving from voluntary commitments to a transparent federal framework with proportionality that does not become a moat for frontier developers or lock out newcomers, warning that otherwise U.S. startups may come to trust Chinese models more. Asked whether OpenAI's recent incidents, including the agent that breached Hugging Face, drove its support for open models, Zier said the timing is unrelated and that the incidents are about ensuring adequate safeguards, noting that OpenAI offers different tiers of models for general access and for specific tasks like cybersecurity. Ortiz added that developers should think hard about what they want a model to do rather than only racing to the frontier.

Policy Recommendations for the 120th Congress
Hsu asked what the panelists would like to see the next Congress do on AI. Kelly called for work on the threshold question, saying policymakers need to see the shape of the line to write appropriate regulations. Zier said Congress should help quench skepticism and hold more open conversations about what needs to be done. Bresnick called for a framework for thresholds and for export controls on semiconductors aimed at China, including ending sales of Nvidia's H200 chips to China. Ortiz said compute needs to be distributed so that more companies can emerge in the open-model space.

Panel II. Governing AI Competitiveness, Safety, and Statecraft.

- Kyle Crichton, Research Fellow, Center for Security and Emerging Technology (CSET), Georgetown University
- Thomas J. Duesterberg, Senior Fellow, Hudson Institute
- Esther Tetruashvily, AI Standards and Global Assurance Lead, OpenAI
- Bill Drexel, Senior Fellow, Hudson Institute
- Riley Walters, Senior Fellow, Hudson Institute (Moderator)

Economic Downturns in China
Duesterberg said Chinese firms are struggling to keep up with American models, noting that leading Chinese AI-related firms have seen their stock prices fall, that no hyperscalers or open-model firms are making money, and that China's economy is already carrying record debt. He questioned why Chinese AI firms should be allowed to operate in the lucrative U.S. market and called the idea that Chinese models are more efficient than U.S. models a myth. Walters asked whether a crash in China's AI bubble would hit the U.S. as well. Duesterberg said profit is not the organizing force of China's economy, explaining that Beijing is willing to lose money for a time to keep employment up, keep businesses in place, and disrupt the U.S. Meanwhile, the U.S. cares much more about making money from AI. He warned that the U.S. economy now depends on the AI-led boom, pointing to signs of weakness in interest rate spreads and in stock and bond markets that look a bit wobbly, and said the U.S. may see much slower growth while China keeps working to undermine its competitors.

Cyber Risks
Crichton drew three lessons from the cyber landscape. He said model-level governance has proven valuable, pointing to how industry has identified cyber risks and restricted access through efforts like OpenAI's Daybreak and Anthropic's Project Glasswing. Still, he argued the federal government should be leading on national security instead of leaving it to a handful of private companies. He also pointed

to recent incidents of agentic loss of control, in which agents escaped testing environments and operated for weeks or months without being noticed, warning that if frontier labs cannot keep their systems secure, policy will be hard to make. Tetruashvily described OpenAI's recent blueprint on cyber risks, developed after those incidents, which looks at which risks and use cases matter and who should control a model, and calls for external parties to provide extra assurance, adding that there is still a lot of iterative learning on what can be shared and a need for comparability.

Safety of Models
Drexel said balancing and mitigating risk involves many trade-offs, but argued there is one area where economic competitiveness, national security, and risk mitigation align: the U.S. should not slow its own frontier but should coercively slow China's. He called Chinese AI the biggest risk the U.S. faces, arguing that China is far behind on safety, much more risk-tolerant, and proud to disregard risks the U.S. ecosystem takes seriously, and urged the U.S. to starve China of compute and capital and step up anti-distillation efforts. Tetruashvily said the task is extremely difficult, framing the central question as what is most useful for U.S. competitiveness and how to know it can be trusted.

AI Development for the United States
Duesterberg said AI is now driven by massive investment, most of it funded by debt, with 55% of AI investment coming from other investment firms, and argued the U.S. must avoid a macroeconomic downturn while thwarting the rise of Chinese AI. He said the U.S. should not discourage AI development but warned about circular financing, calling for more transparency in AI financing deals to ensure the U.S. is not helping its Chinese competitors and for enforcing outbound investment rules. Crichton laid out the questions federal policy should answer first. If the focus is frontier risks, he asked whether policymakers can anticipate the range of severe risks and whether a six-month window is enough to mitigate them. If the priority is geopolitical advantage, he said policy should focus on compute levers, asking whether compute is the limiting factor for Chinese models, whether distillation works for China, and whether controls can be enforced in an economically feasible way. He also described approaches that prioritize high-risk applications or respond to harmful outcomes, questioning whether the technology moves too fast to anticipate harms and fix them before they spread.

CAISI and Auditing
An audience member asked whether the Center for AI Standards and Innovation (CAISI) is the right entity to conduct outside audits. Tetruashvily said it depends on what is meant by auditing, distinguishing third-party evaluation from audits, which test against specific requirements. She said CAISI is best suited for testing and evaluation, which is not really an audit. In contrast, audits with a procedural scope could be done by a variety of parties, adding that third-party evaluators should be held to qualifications based on what they are assessing.

Brain Drain as a Chokepoint
Asked whether Chinese engineers returning to China from the U.S. represent a critical chokepoint, Drexel said there are plenty of Chinese researchers on U.S. teams making big breakthroughs, and that the U.S. needs to retain as much of that talent as it can while recognizing that China is far more effective at manipulating its citizens abroad than past adversaries. He said the U.S. must use that talent in ways that still benefit the country, adding that while troubling in a humanistic sense, it is strategically good news that China is becoming far more draconian toward the top talent it brings back, which saps their motivation. Duesterberg said the brain drain is often overestimated by focusing on PhD counts and other numbers, arguing that China has not performed as well at the leading edge given how many people it puts on problems.

Standardization of AI
Walters asked how policymakers should approach standardization rather than simply issuing rules. Crichton said there is a definite vacuum at the federal level and called for more engagement from bodies like CAISI rather than a patchwork approach, adding that standards will evolve and need harmonization and a living framework. Tetruashvily said OpenAI has advocated for a federal framework and supports state-level interventions, but asked how to assure the public that these risks can be controlled and whether that works better at the state or federal level, arguing that regulation should rest on underlying practices so it is future-proof and that federal action and standardization must happen in parallel. She called for a global framework built around information sharing, model evaluations, incident reporting, and capacity building. She noted during audience questions that international standards such as ISO/IEC 42001 are evolving but need a shorter timeline for bringing in more actors. Drexel said international standards are important but should be planned with the knowledge that China will ignore them, a risk he called more acute than AI itself.

Panel III. AI and Military Power: From Technology to Operational Advantage.

- Lt. Gen. Jack Shanahan (USAF, Ret.), Former Director, Joint Artificial Intelligence Center (JAIC), Department of War
- James Giordano, Senior Fellow for Disruptive Technology and Future Warfare, Institute for National Strategic Studies (INSS), National Defense University
- David Helvey, Former Deputy Assistant Secretary of Defense for Indo-Pacific Security Affairs
- Tsiporah Fried, Visiting Senior Fellow, Hudson Institute (Moderator)

Four Benchmarks for AI
Helvey took up how to turn AI advances into real military advantage, explaining that adoption is only as strong as the data, compute, networks, and software behind it, since adversaries will target the weakest link. He also added that building confidence takes time and a willingness to admit failures and change course. Asked how to assess Beijing's progress, he said he firmly believes the U.S. will prevail with sustained institutional work and laid out four benchmarks for measuring both sides, which are operational effectiveness when information is uncertain or communications are cut, institutional adoption that moves capabilities from experiments into routine use, adaptation and regeneration at the pace a campaign demands, and coalition effectiveness across allies and partners. Shanahan said the technology is largely a commodity and the real challenge is cultural, noting that nine years after Project Maven, the Pentagon's pace is finally accelerating. On the biggest challenge over the next five years, Shanahan compared the moment to the interwar period and stressed experimentation, Giordano called for a whole-of-nation approach, and Helvey pointed to institutional adaptation, including new doctrine and a fresh look at the acquisition system.

Responsibility and Accountability
Fried asked how to control AI once it is integrated into the chain of command. Shanahan said there will be human control, but that the more autonomous the machine, the more important it is to define where the human will be, what meaningful human control looks like, and who is accountable when a system fails, adding that he is a big fan of the Pentagon's AI ethics principles. Asked what happens when a mistake costs lives, Shanahan said the Pentagon seems to prioritize speed and lethality. At the same time, AI assurance comes second, stressing that the military must always know who is responsible through the chain of command. Giordano said accountability depends on whether a failure was technical or operational. He noted that Pentagon doctrine requires human involvement in any use of military force but must keep pace with the technology, since doctrine that lags behind capabilities is

useless. Helvey said that while AI can change what reaches a commander, the humans on the loop must understand how AI is shaping that information and challenge it. During audience questions, Giordano was asked about the risk to human control if decision makers face AI-enabled cognitive warfare, and said there will be an escalation of AI against non-AI systems, making it important to understand the patterns and to pair AI against AI while gauging human cognitive levels.

Terminator-Style Robots in Our Future

Fried asked what AI will and will not change about warfare. Shanahan said AI will not make war sterile or remove its fog, moral struggle, and horror, and that while the nature of warfare will not change, its character will, pointing to Ukraine, where AI is becoming smaller, smarter, and more networked and could soon enable swarming. Asked whether the world is moving toward Terminator-style war as China builds robots, Shanahan said people need to stay alert to the insidious side of building lethal machines, adding that he would be fine with machines making life-and-death decisions as long as a human is in command. Giordano said there is an essence of truth to the fiction but distinguished autonomy from true agency, arguing that keeping humans in command requires recognizing the limits of both machines and their users and moving faster than machine speed. Helvey said progress will be uneven across industries, and that as long as the U.S. moves forward based on human decisions and morality, it will be fine.

China's Role in Military AI

Fried asked whether China is ahead of or behind the U.S. on military AI. Helvey said that if the U.S. is going to use benchmarks to judge its own progress, it needs the same benchmarks to assess China and must distinguish what Beijing intends to achieve. He said AI is highly complementary to how the People's Liberation Army (PLA) thinks about warfare, as Beijing uses these tools to better understand the battlefield. He called for more research into how the PLA thinks about AI today and where it sees the limits. Helvey added that AI is changing how military powers act and that deterrence will depend on how well the U.S. adapts.